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Merchant Growth Platform – Commission Architecture & Compensation Framework (Master Integrated)

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1. Purpose & Compensation Philosophy

This document defines the complete compensation and infrastructure fee structure for the Merchant Growth Platform. The architecture mirrors the discipline and clarity of the existing MCA commission framework while adapting to recurring subscription economics.

The structure is designed to: (i) aggressively reward front-end production, (ii) align payout exposure with churn concentration, (iii) protect long-term platform margin, (iv) incentivize MCA + subscription bundling, and (v) enforce ongoing production discipline.

All commissions are calculated on COLLECTED REVENUE ONLY and are paid monthly.

2. Definitions

Collected Revenue: Subscription payments that have been successfully processed and settled.

Commission Pool: Maximum percentage of collected revenue allocable between Agent and Agency.

Residual: Post-12 month recurring commission subject to production requirements.

Production Month: Calendar month in which collected revenue is recognized.

3. Commission Pool Structure

Tier 1 – Merchant Essentials: Up to 50% Total Commission Pool

Tier 2 – Growth Accelerator: Up to 60% Total Commission Pool

Tier 3 – Elite AI Revenue System: Up to 70% Total Commission Pool

The Total Commission Pool includes both Agent compensation and any Agency override allocation. Under no circumstance may combined payout exceed the applicable tier pool percentage (exclusive of temporary performance incentives).

4. Commission Decay Schedule – Year 1

Commission percentages decline in three-month intervals during the first 12 months to align payout exposure with subscription churn concentration.

Tier 2 Example (60% Pool)

Months 1–3: 60%

Months 4–6: 45%

Months 7–9: 30%

Months 10–12: 15%

Post-Month 12: 10% Residual (subject to production requirements)

5. MCA Pairing Enhancement

Where a subscription is directly associated with a successfully funded MCA transaction, a temporary +5% enhancement applies during Months 1–3 only.

The enhancement does not extend beyond Month 3 and does not modify residual eligibility.

6. Residual Governance & Production Requirements

To maintain residual eligibility after Month 12, an Agent must maintain minimum monthly production equal to:

- \$3,000 in collected subscription revenue OR
- One (1) funded MCA and one (1) new subscription per month

Failure to meet production for ninety (90) consecutive days results in a 50% residual reduction. Failure to meet production for six (6) consecutive months results in residual suspension.

Residual reinstatement requires three consecutive compliant production months.

7. Individual Agent Platform Fee & Waiver Structure

Standard Monthly Platform Fee: \$99

Measurement Standard: Monthly Collected Subscription Revenue attributable to Agent.

Level 1 – 50% Fee Reduction

Qualification: \$3,000+ collected revenue in Production Month.

Level 2 – 100% Fee Waiver

Qualification: \$5,000+ collected revenue in Production Month.

Level 3 – Full Waiver + Performance Credit

Qualification: \$8,500+ collected revenue in Production Month.

Benefit: 100% fee waiver + \$100 credit applied to next billing cycle (non-carrying).

Waivers apply only to the applicable billing month. If production falls below Level 1 for two (2) consecutive months, full platform fee reinstates automatically.

8. Agency Platform Fee & Waiver Structure

Baseline Monthly Fees:

1–5 Agents: \$349

6–15 Agents: \$699

16–30 Agents: \$1,199

31–75 Agents: \$1,799

75+ Agents: Enterprise Negotiated

Agency Waiver Qualification Based on Total Agency Collected Revenue:

Tier A – \$25,000+ → 25% Fee Reduction

Tier B – \$50,000+ → 50% Fee Reduction

Tier C – \$85,000+ → 100% Fee Waiver

If Agency revenue falls below Tier A for two (2) consecutive Production Months, full platform fee reinstates automatically.

9. Enforcement, Adjustment & Governance Provisions

All compensation is contingent upon collected revenue and subject to audit verification.

The Platform reserves the right to review, modify, suspend, or terminate performance bonuses or temporary incentives to preserve contribution margin targets.

In the event of fraudulent activity, misrepresentation, artificial transaction structuring, or policy circumvention, commissions may be withheld, reversed, or permanently forfeited.

Platform fee waivers and commission eligibility are privileges contingent upon compliance with production standards and contractual obligations.

The Platform retains sole discretion in interpretation of collected revenue calculations and production qualification metrics.

This document is confidential and intended for internal governance only.